cc: JG/AV

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

LA PUBLIC SERVICE COMM
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BEAUREGARD ELECTRIC COOPERATIVE, INC. *EX PARTE*, APPLICATION FOR APPROVAL OF INITIAL REVENUE ADJUSTMENT, APPROVAL OF FORMULA RATE PLAN, APPROVAL OF MODIFICATIONS TO STANDARD TERMS AND CONDITIONS AND ASSOCIATED RATE SCHEDULES, AND REQUEST FOR INTERIM RATE RELIEF	)	DOCKET NO. U-37483

MEMORANDUM IN SUPPOST OF BECI'S PEREMPTORY EXCEPTION OF NO RIGHT OF ACTION AND MOTION TO STRIKE INTERVENTION

Beauregard Electric Cooperative, Inc. ("BECi" or the "Cooperative") respectfully submits this Memorandum in Support of Peremptory Exception of No Right of Action and Motion to Strike Intervention, seeking the strike the intervention (the "Intervention") filed by Mr. Brian Zelenak ("Zelenak") on February 3, 2025, and to dismiss Zelenak as a party to this proceeding. For all of the reasons stated below, in consideration of the law and facts, Zelenak's Intervention has no basis and should be accordingly stricken.

I. FACTS AND PROCEDURAL HISTORY

BECi filed its *Application for Approval of Initial Revenue Adjustment, Approval of Formula Rate Plan, Approval of Modifications to Standard Terms and Conditions and Associated Rate Schedules, and Request for Interim Rate Relief* (the "Application") on January 14, 2025. The Application was published in Official Bulletin No. 1341 on January 17, 2025, with a 15-day intervention period. In the Application, BECi included requests for 1) an initial revenue adjustment; 2) the implementation of a formula rate plan ("FRP"); 3) modifications to BECi's

Standard Terms and Conditions/Rate Schedules; and 4) a request for interim rate relief. All of BECi's requests in the Application involve issues that may impact BECi member/ratepayers only.

Zelenak filed his Intervention on February 3, 2025. Zelenak is not and has never been a BECi member or ratepayer (see the affidavit of Mike Viator attached as Exhibit A), but rather a former BECi General Manager and current resident of Wisconsin. Zelenak asserted that, as a "whistleblower," he is "uniquely qualified" to expose alleged waste and mismanagement within BECi. He requested that he be allowed to intervene purportedly "on behalf of the members of Beauregard Electric Cooperative." However, in the February 19, 2025 Ruling on Request for Clarification of Intervention, this Tribunal confirmed that Zelenak is recognized only in his individual capacity and not as a representative of the Cooperative's members. This confirms that he cannot appear "on behalf" of anyone other than himself.

LPSC Staff has multiple employees assigned to the docket, including Staff Attorney Arvind Viswanathan, Audit Supervisor Thomas Broady, and Utilities Administrator Donnie Marks. The LPSC also has an investigative docket (Docket No. X-37183) which was opened on April 25, 2024 for the stated purpose of conducting an "investigative audit into (BECi) and its Board of Directors regarding potential violations of its policies, practices, and/or procedures that could cause costs and/or service impacts." Mr. Broady and Mr. Marks are also assigned to that docket, along with LPSC Executive Counsel Kathryn Bowman and Audit Director Robin Pendergrass.

Additionally, Zelenak is pursuing a federal lawsuit, *Zelenak v. Beauregard Electric Cooperative, Inc. et al.*, Docket No. 2:24-cv-01803, in the United States District Court for the Western District of Louisiana, alleging wrongful termination and whistleblower retaliation. His

intervention here thus appears to be a collateral attempt to use this rate case to litigate unrelated employment grievances.

II. LAW AND ARGUMENT

A. A Party Must Have an Actual and Justiciable Interest in a Proceeding to Have a Right to Intervene.

Under both the LPSC's Rules of Practice and Procedure and the Louisiana Code of Civil Procedure, a party seeking to participate in a proceeding, whether as petitioner[1] or intervenor[2] (as in this case), must possess a real and actual interest in the action or be a member of a class to whom the law grants a remedy for the alleged harm. Rule 10 of the LPSC's Rules of the Practice and Procedure ("Rule 10") provides in pertinent part as follows:

> RULE 10: PARTIES IN INTEREST. Any party *actually in interest* may appear in any proceeding before the Louisiana Public Service Commission. All appearances shall be subject to a motion to strike upon a showing that the party *has no justiciable or administratively cognizable interest* in the proceeding.... (emphasis added)

Likewise, under the Louisiana Code of Civil Procedure, a person can only bring an action if the person has a real or actual interest which he asserts. La. C.C.P. art. 681. Similar to Rule 10, La. C.C.P. art. 1091, regarding the right to intervene in a proceeding, provides for a two-fold test: the intervenor must have 1) a justiciable interest in, and 2) a connexity to, the principal action. *Stevens Constr. & Design, L.L.C. v. St. Tammany Fire Prot. Dist. No. 1*, 308 So. 3d 724, 729 (La. App. 1 Cir. 7/8/20), *writ denied*, 303 So. 3d 652 (La. 11/4/20), *reconsideration not considered* 308 So. 3d 1162 (La. 1/20/21). The "justiciable interest" for purposes of an intervention is the right of an intervenor to seek redress or a remedy against either party in the original action or both, and

[1] La. C.C.P. art. 681.
[2] La. C.C.P. art.1091.

where those parties have a real interest in opposing it. *Id.* As to the connexity, the right, if it exists, must be so related or connected to the facts or object of the principal action that a judgment on the principal action will have a *direct impact on the intervenor's rights*. *Id.* Indeed, the justiciable interest must be so direct that the intervenor is to obtain *immediate* gain or suffer *immediate* loss by judgment which may be rendered between original parties. *United Gas Pipe Line Co. v. La. Pub. Serv. Comm'n*, 130 So. 2d 652, 656 (La. 1961).

B. Zelenak Has Not Stated, and Does Not Have, a Justiciable or Administratively Cognizable Interest in this Proceeding and the Exception and Motion to Strike Should be Granted.

As highlighted above, to be a party, the person seeking to intervene must have an actual interest that is justiciable and administratively cognizable. Zelenak does not and cannot demonstrate such an interest. Approval or denial of BECi's requested rate adjustments, FRP, or interim rate relief will have no financial or service impact on Zelenak whatsoever. He will neither pay more nor less for electricity regardless of the outcome of this docket. He is simply not within the class of persons the law seeks to protect in this proceeding.

The Commission has applied this principle recently in a proceeding involving alleged overcharges by BellSouth Telecommunications, LLC d/b/a AT&T Louisiana ("AT&T"), a telecommunications provider, to one of AT&T's customer, Rapides Parish Sheriff's Office ("RPSO"), when the petition was filed by Allen's Consulting Service, Inc. ("Allen's Consulting"), which was contractually authorized by RPSO to demand payment from AT&T. LPSC Order No. U-34020, dated March 27, 2017, *Allen's Consulting Services, Inc. v. Bellsouth Telecommunications, LLC D/B/A AT&T Louisiana*, 2017 W.L. 1177990. Despite this contractual relationship nexus, the Commission held that the consulting firm lacked a justiciable or

administratively cognizable interest under Rule 10. The LPSC emphasized in that ruling that the contractual agreement did not authorize Allen's Consulting to take any action on behalf of RPSO beyond making written demand upon AT&T and seeking a refund or credit. The Commission further confirmed that RPSO would have had a justiciable or administratively cognizable interest in the proceeding if it had pursued it, but neither Allen's Consulting nor its principal had provided any evidence or testimony that they had their own justiciable or administratively cognizable interest to litigate the issue before the Commission. *Id.*

Here, Zelenak has less interest than Allen's Consulting had in Docket No. U-34020. He is not and has never been a member or ratepayer of BECi, has no contractual relationship with anyone who has a justiciable or administratively cognizable interest (and cannot have such a relationship as recognized by the Ruling on Request for Clarification of Intervention in this matter on February 19, 2025), and has no personal right or interest that would be affected by this proceeding. While Zelenak's claims may be sensational, he has made no claim that states a justiciable or administratively cognizable interest connected to any of the requests made by BECi in its Application, nor shown how any decision on the Application might have any impact on him. If BECi obtains the initial revenue adjustment that it seeks, is able to implement the requested FRP, has its Standard Terms and Conditions/Rate Schedules modified as requested, and implements the interim rate relief, Zelenak will not pay a penny more or have his electric service impacted in any way. Zelenak's lack of interest in this matter is precisely why he has not provided any testimony or other evidence to support his Intervention.

Docket No. U-37483 is narrowly limited to issues of rate adjustment and FRP implementation. Zelenak's allegations of theft, mismanagement, and policy disputes are collateral

issues more appropriately addressed through: (1) the Commission's separate investigative Docket No. X-37183, which is already examining potential policy and governance violations at BECi, or (2) his federal lawsuit challenging his termination. Rule 10 requires that intervenors present only "relevant and proper" evidence bearing on the issues in the particular proceeding. Allowing Zelenak to continue as a party to this proceeding based on his Intervention's allegations would improperly broaden this docket beyond its intended scope, which is not allowed by an intervenor under the LPSC's Rules of Practice and Procedure (Rule 16) or the Louisiana Code of Civil Procedure (La. C.C.P. art. 1094).

Further, Rule 11 allows a natural person to appear only "on his own behalf" or through authorized representation. As the ALJ recognized, Zelenak is listed as intervening solely for himself. Thus, his claim to be intervening "on behalf of the members" is legally ineffective and must be disregarded. Thus, if he does not individually have an actual and justiciable interest, the Intervention is not proper.

Again, the result of this proceeding, however it goes, will have no actual impact on Zelenak. The ratepayers in this proceeding and in the BECi investigative X-docket will have the traditional, competent representation from LPSC Staff, and Zelenak conversely is not authorized to provide that representation. Claiming to have a particular knowledge as Zelenak asserts might be relevant to being called as a witness, but it does not provide Zelenak an actual interest or remedy for his concerns, all of which appear more appropriate for other ongoing proceedings.

In that regard, the LPSC has recognized the legal standing of a party who has the actual, justiciable, or administratively cognizable interest, but not that of a third party attempting to represent the interests of others. As such, Zelenak is not a proper intervenor in this proceeding,

and this peremptory exception of no right of action and motion to strike intervention is the appropriate mechanism to have the intervention be stricken. Zelenak has provided no legitimate basis by which he would have standing to intervene in the proceeding on behalf of the entirety of the Cooperative membership or in any individual capacity.

C. Zelenak's Intervention Lacks Connexity with this Matter.

Zelenak not only lacks a justiciable or administratively cognizable interest in this matter, but there is also no nexus between the facts and object of his Intervention and the subject matter of this proceeding. Allegations of fraud, waste, abuse, and retaliation have little, if any, factual connection with the issue of this docket: whether BECi's Application would result in just and reasonable rates consistent with the public interest. Moreover, no decision by the Commission in this matter will dispose of or otherwise directly affect Zelenak's pending whistleblower and retaliation claims in federal court. No order issued in this proceeding will cause any immediate gain or loss to Zelenak, and, as such, his Intervention lacks connexity with this matter, and this Exception and Motion should be granted.

D. Zelenak's Intervention Improperly Expands the Scope of this Proceeding.

Unlike Docket No. X-37183, this matter is not an investigative audit to review the prudence of BECi's management decisions. Nor is this matter an adjudication of alleged whistleblower retaliation in violation of federal labor law. This matter is limited to the issues set forth in BECi's Application, none of which include those stated in Zelenak's Intervention. Zelenak cannot broaden the scope of the issues of this proceeding under Rule 16 and jurisprudence on interventions, and, as the issues stated in his Intervention are outside the scope of this docket, his Intervention should be stricken.

E. BECi's Exception/Motion to Strike is Proper and Timely

The procedural schedule established in this matter by the Tribunal's March 12, 2025 Report of Status Conference established an October 17, 2025 deadline for the filing of dispositive motions, and this exception and motion are being filed well within that timeframe. Furthermore, under the Louisiana Code of Civil Procedure, the peremptory exception of no right of action is the proper vehicle to oppose an intervention without interest. *Interdiction of Zimmer*, 242 So.3d 669 (La. App. 4 Cir. 3/14/18), citing *IberiaBank v. Live Oak Circle Development, L.L.C.*, 118 So.3d (La. App. 1 Cir. 5/13/13). La. C.C.P art. 928 provides that a party may plead a peremptory exception ***at any stage of the proceeding prior to the submission of the case for decision.***

This Commission has repeatedly recognized exceptions as provided for in the Louisiana Code of Civil Procedure as being proper. See, for example, LPSC Order dated October 5, 2006, Docket No. U-26793, *Valley Electric Membership Corp. v. Cleco Power LLC* (granting a peremptory exception of no cause of action) and LPSC Order No. U-20698-A dated November 27, 1996, *Exxon Pipeline Co. v. Entergy Corp.*, 1996 WL 875351 (granting a peremptory exception of prescription as to a portion of the claims made). In the *Exxon Pipeline* case, in granting the peremptory exception of prescription, the exception was not filed until after the Tribunal had issued a proposed recommendation in the proceeding. Citing to La. C.C.P. art. 928, the Commission determined that the peremptory exception was timely since the final decision on the merits at the LPSC would be made by the Commission following a recommendation by the Administrative Law Judge. Accordingly, under any scenario, whether as a dispositive motion or a peremptory exception, BECI's Exception and Motion are timely.

III. CONCLUSION

Based on the above-stated facts and law, Zelenak has no actual, justiciable or administratively cognizable interest factually connected to this proceeding and, as such, BECi's Peremptory Exception of No Right of Action and Motion to Strike Intervention should be granted, the Intervention filed by Mr. Brian Zelenak should hereby be stricken, and Zelenak should be dismissed as a party of record to this proceeding, with a provision of all other good and equitable relief.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have on this 1st day of October 2025, served copies of the foregoing pleading upon all known parties to this proceeding by email.

KYLE C. MARIONNEAUX

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AFFIDAVIT

STATE OF LOUISIANA
PARISH OF Beauregard

I, Michael Viator, being first duly sworn, depose that I am the Executive Vice President and General Manager ("GM") of Beauregard Electric Cooperative ("BECi" or "Cooperative") and that I have had the membership and service records check and do hereby attest and confirm that, to the best of my knowledge, Mr. Brian Zelenak is not presently, nor has he ever been, a member or ratepayer of BECi.

BEAUREGARD ELECTRIC COOPERATIVE, INC.

Mr. Michael Viator

Subscribed and sworn before me this 29th day of September, 2025.

Notary Public

TINA HARMON
NOTARY PUBLIC
Notary ID No. 194116
Beauregard Parish, Louisiana

EXHIBIT
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